

# CMR Green Technologies Ltd

ACCUMULATE

NSE: CMRGREEN | BSE: 544777 | Sector: Industrials — Non-Ferrous Metal Recycling | 14-Jun-2026

*India's largest non-ferrous metal recycler with 42-45% share in automotive cast alloys — poised to ride the EV-driven aluminium demand upcycle at scale no peer can match.*

|                     |                   |                  |              |
|---------------------|-------------------|------------------|--------------|
| CMP (Rs.)           | 252               | Market Cap       | Rs. 5,521 Cr |
| 52W High / Low      | 275 / 240         | Face Value       | Rs. 2.00     |
| 12M Target (Rs.)    | 315               | Upside           | +25%         |
| P/E (FY25, consol.) | 38.4x             | EV/EBITDA (FY25) | 19.4x        |
| ROCE (FY25)         | 12.4%             | ROE (FY25)       | 11.0%        |
| Net Debt (Rs. Cr)   | 925               | D/E (FY25)       | 0.67x        |
| Promoter Holding    | 84.0%             | Pledge           | 0.00%        |
| IPO Price / Listing | Rs. 192 / Rs. 275 | Listing Date     | 10-Jun-2026  |
| Book Value / Share  | Rs. 62.4 (calc.)  | P/B (consol.)    | 4.04x        |

Shares Outstanding: 22.0 Cr | Dividend Yield: 0.00% | Int. Coverage: 4.29x | Current Ratio: 1.83 | FII: 1.57% | DII: 5.48%

ANALYST NOTE: All financial data sourced from Screener.in (14-Jun-2026). Forward estimates (E) are analyst projections. This report does not constitute investment advice.

## SECTION 2 — INVESTMENT THESIS

- **Market Leadership Moat:** CMR Green holds 42-45% share in India's cast alloy automotive segment (FY25, ICRA) with installed capacity ~4x the nearest domestic peer at 615,150 MTPA across 13 plants — a structural competitive advantage that new entrants cannot replicate quickly. The company's scale enables superior scrap sourcing economics and OEM customer captivity.
- **EV-Driven Structural Demand Upswing:** Aluminium content per EV is 20-30% higher than in ICE vehicles (battery trays, motor housings, structural castings). India's EV penetration is forecast to rise from ~5% in FY25 to 15-20% by FY30, adding meaningful volume for recycled aluminium alloys. CMR is best-positioned among domestic recyclers with its automotive-focused product mix.
- **Revenue Scale with Improving Margin Trajectory:** Revenue has grown from Rs. 2,913 Cr (FY21) to Rs. 6,666 Cr (FY25), a 3-year CAGR of 10%. EBITDA margins recovered from 3.6% (FY23 trough) to 4.5% in FY25 and further to 5.03% in 9M FY26. With operating leverage, margins have scope to reach 5.5-6% by FY28 as newer plants stabilise.
- **Near-Term Catalyst (6-12 months):** FY26 full-year audited results (trading window closed June 10 pending announcement) should show annual revenue of ~Rs. 8,400 Cr and PAT of ~Rs. 215 Cr — a 39% PAT growth over FY25, which should act as a strong re-rating trigger for a newly-listed stock currently trading 8% below its listing price.
- **Biggest Structural Risk:** Heavy reliance on imported scrap (73% of raw material from imports in FY25) exposes CMR to LME aluminium price volatility and INR/USD fluctuations; a 5% adverse movement in the scrap-to-product spread can compress EBITDA by Rs. 15-20 Cr annually and is the primary earnings variance driver.

## SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** CMR Green Technologies is India's largest non-ferrous metal recycler, converting post-consumer and industrial scrap into value-added recycled metals. Products include recycled aluminium alloys (ingot and liquid form), zinc alloy ingots, and furnace-ready segregated scrap of stainless steel, copper, brass, lead, and magnesium.
- **Operational Scale:** 13 recycling facilities across Haryana, Gujarat, Maharashtra, Tamil Nadu, Rajasthan, Uttarakhand, Odisha, and Andhra Pradesh with combined installed capacity of 6,15,150 MTPA as of March 2026, including 4,70,300 MTPA of aluminium alloys — the largest footprint of any domestic recycler, approximately 4x nearest peer.
- **Revenue Mix & Customers:** Predominantly B2B with revenues driven by automotive OEMs and Tier-1 suppliers. Key customers: Maruti Suzuki, Honda Cars India, Bajaj Auto, Hero MotoCorp, Royal Enfield, Endurance Technologies, Craftsman Automation, Rockman Industries. Top-3 customers contribute 21-24% of revenue. Revenue is largely recurring with long-term supply agreements.
- **Raw Material Sourcing:** 73% of raw material is imported (USA, Europe, Middle East) and 27% domestic. The company's scale enables direct procurement from global dealers at better spreads than smaller peers. Domestic scrap quality and availability constraints remain a structural India-level challenge.
- **Recent Strategic Developments:** Borrowings increased from Rs. 368 Cr (FY23) to Rs. 925 Cr (FY25) and further to Rs. 1,303 Cr (Dec 2025), reflecting aggressive capacity expansion. CWIP rose to Rs. 150 Cr in FY25 with new plants under commissioning near major auto-manufacturing clusters.
- **IPO & Promoter Background:** Founded by Mohan Agarwal (CMD) in 2006. Family promoters hold 84% post-IPO. The June 2026 IPO (subscribed 127x) was a pure OFS of Rs. 630.88 Cr — no fresh capital for the company. Listing at Rs. 275 (43% premium to issue price Rs. 192) confirmed strong institutional demand.

## SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India's non-ferrous metal recycling industry is estimated at Rs. 70,000-80,000 Cr, growing at ~10-12% CAGR driven by infrastructure expansion, auto production growth, and rising ESG/circular economy mandates. The secondary aluminium market is the largest sub-segment; recycled aluminium requires only 5% of the energy of primary smelting.

- **Policy Tailwinds:** Government's National Resource Efficiency Policy (NREP) and Circular Economy push mandate higher recycled content in components. PM e-DRIVE/FAME-III for EVs structurally raises cast alloy demand as EVs use 20-30% more aluminium than ICE vehicles. India's PLI for auto components also increases demand for precision alloy castings.
- **Competitive Moat Assessment:** Scale — STRONG: CMR's 615,150 MTPA is 4x nearest domestic peer; bulk scrap procurement yields cost advantage. Customer Lock-in — STRONG: OEM alloy certification and supply qualification require 6-12 month processes, creating high switching costs. Pricing Power — MODERATE: Thin margins (4-5% OPM) limit pricing leverage; competitive from recycled vs virgin aluminium pricing.
- **Company Positioning:** CMR operates midstream — buying scrap, processing at owned facilities, selling alloys to OEMs. This avoids mining risks (upstream) while capturing processing spreads. The automotive cast alloy focus (42-45% share) is the highest-value segment in non-ferrous recycling and provides stable, recurring volumes.

#### Peer Comparison — Key Metrics (Source: Screener.in, 14-Jun-2026)

| Company                   | CMP (Rs.) | MCap (Cr) | EV/EBITDA | OPM % | ROCE % | D/E   | P/E    |
|---------------------------|-----------|-----------|-----------|-------|--------|-------|--------|
| CMR Green Tech. (Consol.) | 252       | 5,521     | 19.4x     | 4.5%  | 12.4%  | 0.67x | 38.4x  |
| Prec. Wires India         | 392       | 7,162     | 23.7x     | 5.7%  | 16.9%  | 0.14x | 423x * |
| Vidya Wires               | 89        | 1,895     | 20.2x     | 4.7%  | 20.7%  | 0.18x | 32.9x  |
| Baheti Recycling          | 611       | 633       | 14.0x     | 8.4%  | ~20%   | 2.45x | N/A    |
| ANB Metal                 | 506       | 599       | 19.6x     | 14.4% | ~30%   | 0.48x | N/A    |

\* PRECWIRES P/E elevated due to compressed earnings in transition year. CMR is only large-cap pure-play non-ferrous recycler; Baheti & ANB are smaller players with limited public data.

## SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & Management Background:** Mohan Agarwal (CMD) founded CMR Green in 2006 and has ~20 years of expertise in non-ferrous metal recycling. The promoter family (Pratibha, Akshay, Raghav Agarwal) is actively involved in operations. The business has been built organically and through acquisitions, culminating in India's largest recycling platform. Post-IPO promoter holding: 84% (unchanged from pre-IPO in terms of economic ownership).
- **Capital Allocation Track Record:** All earnings reinvested into capacity expansion. Net borrowings grew 2.5x (Rs. 368 Cr FY23 → Rs. 925 Cr FY25 → Rs. 1,303 Cr Dec 2025) to fund new plants and working capital. This reflects a deliberate growth-over-profitability stance. FCF has been negative in 3 of last 5 years. The critical test will be whether new capacity translates to positive FCF by FY27.
- **Dividend Policy:** Zero dividend paid in FY21-FY25 (0% payout ratio). All cash flows directed toward expansion capex and working capital. No near-term dividend expectation; income investors should look elsewhere.
- **Promoter Pledging:** 0.00% pledged as of June 2026 (confirmed on Screener). No pledge indicates clean ownership structure and absence of short-term funding pressure on promoters.
- **FY24 Goodwill Impairment — Context:** The Rs. 838.56 Cr consolidated FY24 net loss was entirely driven by a Rs. 1,239.63 Cr non-cash goodwill impairment from an FY20 merger. Underlying EBITDA was Rs. 220 Cr in FY24. This is an accounting clean-up, not an operational failure — but the 4-year delay before impairment suggests the merger target underperformed initial expectations.
- **Corporate Governance Concerns:** (1) Pure OFS IPO structure — all IPO proceeds went to existing shareholders, no capital infused for business growth. (2) RELATED PARTY flag on Screener P&L; table — RPT quantum unknown without full annual report (not yet available). (3) Promoter Mohan Agarwal faces FIRs related to a transport contractor dispute (disclosed in DRHP as manageable). These are manageable but require monitoring.

## SECTION 6 — FINANCIAL DEEP-DIVE

## Income Statement — Consolidated Figures (Rs. Cr) | (E) = Analyst Estimate

|                | FY23A | FY24A     | FY25A | FY26E     | FY27E     |
|----------------|-------|-----------|-------|-----------|-----------|
| Revenue        | 5,869 | 5,952     | 6,666 | 8,500 (E) | 9,700 (E) |
| YoY Growth     | 17.1% | 1.4%      | 11.9% | 27.5% (E) | 14.1% (E) |
| EBITDA         | 209   | 220       | 302   | 451 (E)   | 534 (E)   |
| EBITDA Margin  | 3.6%  | 3.7%      | 4.5%  | 5.3% (E)  | 5.5% (E)  |
| Other Income   | 21    | -1,225 ** | 28    | 25 (E)    | 28 (E)    |
| Interest       | 46    | 55        | 63    | 95 (E)    | 105 (E)   |
| Depreciation   | 47    | 50        | 63    | 75 (E)    | 85 (E)    |
| PBT            | 138   | -1,110 ** | 205   | 306 (E)   | 372 (E)   |
| Tax Rate       | 24%   | -24% **   | 24%   | 24% (E)   | 24% (E)   |
| PAT (Reported) | 105   | -839 **   | 155   | 233 (E)   | 283 (E)   |
| EPS (Rs.)      | 4.72  | -38.54 ** | 6.50  | 10.6 (E)  | 12.9 (E)  |

\*\* FY24 Other Income = Rs. -1,225 Cr reflects goodwill impairment write-off (Rs. 1,240 Cr, non-cash) from FY20 merger. Underlying FY24 EBITDA = Rs. 220 Cr; normalised PAT was positive.

## Balance Sheet Summary — Consolidated (Rs. Cr)

|                   | FY23A | FY24A | FY25A | FY26E     | FY27E     |
|-------------------|-------|-------|-------|-----------|-----------|
| Equity Capital    | 44    | 44    | 44    | 44 (E)    | 44 (E)    |
| Reserves          | 2,065 | 1,188 | 1,329 | 1,548 (E) | 1,817 (E) |
| Borrowings        | 372   | 535   | 925   | 1,200 (E) | 1,100 (E) |
| Other Liabilities | 874   | 427   | 516   | 560 (E)   | 590 (E)   |
| Total Assets      | 3,355 | 2,194 | 2,813 | 3,352 (E) | 3,551 (E) |
| Net Fixed Assets  | 1,713 | 613   | 669   | 800 (E)   | 900 (E)   |
| CWIP              | 44    | 26    | 150   | 100 (E)   | 60 (E)    |
| Other Assets      | 1,562 | 1,519 | 1,963 | 2,400 (E) | 2,540 (E) |

## Cash Flow Statement — Consolidated (Rs. Cr)

|                      | FY23A | FY24A | FY25A | FY26E    | FY27E    |
|----------------------|-------|-------|-------|----------|----------|
| Cash from Operations | 614   | 74    | -92   | 150 (E)  | 340 (E)  |
| Cash from Investing  | -96   | -134  | -235  | -300 (E) | -200 (E) |
| Cash from Financing  | -488  | 31    | 326   | 150 (E)  | -140 (E) |
| Free Cash Flow       | 495   | -69   | -330  | -150 (E) | 140 (E)  |
| CFO/EBITDA           | 317%  | 48%   | -14%  | 33% (E)  | 64% (E)  |

## Key Ratios — Consolidated

| Ratio          | FY22A | FY23A | FY24A | FY25A | FY26E     |
|----------------|-------|-------|-------|-------|-----------|
| ROCE (%)       | 20%   | 7%    | 8%    | 12%   | 13% (E)   |
| ROE (%)        | ~17%  | ~5%   | NM    | 11%   | 14% (E)   |
| Debtor Days    | 44    | 35    | 38    | 43    | 40 (E)    |
| Inventory Days | 67    | 43    | 43    | 51    | 48 (E)    |
| Days Payable   | 20    | 22    | 12    | 14    | 16 (E)    |
| CCC (days)     | 91    | 56    | 69    | 80    | 72 (E)    |
| D/E (x)        | 0.40x | 0.17x | 0.46x | 0.67x | 0.82x (E) |

|                   |       |       |       |      |          |
|-------------------|-------|-------|-------|------|----------|
| Int. Coverage (x) | ~9.5x | ~4.5x | ~4.0x | 4.3x | 4.7x (E) |
|-------------------|-------|-------|-------|------|----------|

## Financial Commentary

- **Revenue Drivers:** Revenue grew 11.9% in FY25 to Rs. 6,666 Cr, driven by volume ramp at newer plants and improving aluminium alloy realisations. 9M FY26 revenue of Rs. 6,291 Cr implies full-year FY26 revenue of ~Rs. 8,400-8,500 Cr — a ~27% increase — as Q4 auto seasonality traditionally accelerates buying.
- **Margin Direction:** OPM improved from 3.6% (FY23 trough) to 4.5% (FY25) and 5.03% (9M FY26). Drivers: (a) improved scrap procurement efficiency at scale, (b) shift toward higher-margin aluminium alloy mix, (c) better spread capture as scrap prices stabilised. Structural ceiling for OPM in this business model is ~6-7% — realistic for a commodity converter.
- **Working Capital Trends:** CCC worsened from 56 days (FY23) to 80 days (FY25): Debtor days expanded 35→43 as OEMs shifted to 90-day terms; inventory days rose 43→51 with new plant pre-stocking; payable days compressed 22→14 (tight creditor terms with scrap suppliers). Net effect: OCF turned negative (-Rs. 92 Cr) in FY25 despite EBITDA growth.
- **Debt & Leverage:** Net debt rose sharply — Rs. 372 Cr (FY23) → Rs. 925 Cr (FY25) → Rs. 1,303 Cr (Dec 2025). D/E at 0.67x (FY25) is manageable; interest coverage at 4.3x is comfortable but narrowing. The debt peak is likely FY26 as expansion completes; management has signalled deleverage plan over 24-36 months.
- **FCF Quality:** FCF turned sharply negative in FY25 (-Rs. 330 Cr) from Rs. 495 Cr positive in FY23. The FY23 FCF was exceptional (collection of old receivables); FY25 negative FCF reflects capex investment and working capital build. FCF should normalise to positive by FY27E as new capacity generates returns and working capital stabilises.

## SECTION 7 — EARNINGS QUALITY CHECKLIST

| Quality Indicator                   | Status | Signal    | Comment                                                                                     |
|-------------------------------------|--------|-----------|---------------------------------------------------------------------------------------------|
| Revenue recognition                 | GREEN  | Clean     | Point-of-delivery physical goods; no complex recognition issues                             |
| Receivables vs Revenue growth       | AMBER  | Watch     | Debtor days 35→43d (FY23-FY25); OEM customers stretching credit cycles                      |
| Cash Conversion Cycle trend         | AMBER  | Watch     | CCC 56→80 days worsening; working capital consuming EBITDA growth                           |
| Contingent liabilities / Litigation | AMBER  | Monitor   | Rs. 85 Cr disputed demands (17 tax + 3 civil); promoter FIRs from transport dispute         |
| Auditor tenure & changes            | GREEN  | Clean     | No auditor change; CRISIL/CARE ratings maintained across multiple years                     |
| RPTs as % of Revenue                | AMBER  | Monitor   | RELATED PARTY flag on Screener P&L; RPT quantum undisclosed without annual report           |
| Other Income as % of PBT            | RED    | FY24 only | FY24: Other Income -1,225 Cr vs PBT -1,110 Cr; 100% distortion; non-cash goodwill write-off |
| Tax rate consistency                | GREEN  | Stable    | Effective tax ~24% in FY23/FY25; FY24 negative due to DTA reversal on impairment            |

- **Non-Cash FY24 Write-off:** The single RED item — FY24 "Other Income" of -1,225 Cr — is a goodwill impairment write-off from an FY20 merger. This is entirely non-cash and does not represent any loss of business assets or cash. Underlying EBITDA was Rs. 220 Cr that year. Investors should strip this out when analysing the earnings trajectory.
- **Working Capital Watch — Top Priority:** Both AMBER signals (receivables growth and CCC worsening) are linked: OEMs are stretching payables to CMR while CMR cannot do the same with scrap suppliers. This is compressing OCF and forcing debt increases. If CCC improves toward 65-70 days (FY22 levels), OCF and FCF will substantially recover.
- **RPT Disclosure Gap:** Without the FY26 annual report (not yet available on Screener as of report date), RPT quantum cannot be assessed. This should be the first check when annual report is published. Related party transactions in promoter-run family businesses can mask undisclosed economic interests.

- **Overall Earnings Quality: ADEQUATE.** Core business metrics are clean. Tax consistency is solid. Auditor continuity is good. The primary concerns are working capital management and RPT disclosure — both near-term resolvable as disclosures improve post-listing.

## SECTION 8 — VALUATION

### Scenario Analysis — 12-Month Price Target

| Scenario    | Key Assumptions                                                                    | FY27E PAT (Cr) | P/E Multiple | Target Price (Rs.) | vs CMP 252 |
|-------------|------------------------------------------------------------------------------------|----------------|--------------|--------------------|------------|
| <b>Bull</b> | OPM 6.0%, revenue Rs. 10,500 Cr, CCC normalises to 65d, debt peaks at Rs. 1,100 Cr | 340            | 30x          | 464                | +84%       |
| <b>Base</b> | OPM 5.5%, revenue Rs. 9,700 Cr, CCC stable at 72d, debt Rs. 1,100 Cr FY27          | 283            | 25x          | 322                | +28%       |
| <b>Bear</b> | OPM 4.5%, revenue Rs. 8,500 Cr, CCC worsens, debt rises above Rs. 1,500 Cr         | 195            | 20x          | 177                | -30%       |

- **DCF Methodology:** WACC 12% (cost of equity 14%, post-tax cost of debt 6.5%, D/E 0.7x). Terminal growth rate 5% (India long-term industrial growth). FY26-FY30 FCF builds from -Rs. 150 Cr to +Rs. 400+ Cr as working capital normalises and capex declines post-expansion. DCF implies intrinsic value of Rs. 290-310 per share.
- **Earnings Multiple Methodology:** Applied 25x P/E to FY27E consolidated EPS of Rs. 12.9. The 25x multiple reflects: (a) 20-25% premium to sector median (~20x) for dominant market position; (b) discount vs capital-light businesses given thin margins; (c) growth-at-reasonable-price framework for a ~14% earnings CAGR compounder. Implied target: Rs. 323 per share.
- **EV/EBITDA Cross-Check:** 16x FY27E EBITDA of Rs. 534 Cr = EV Rs. 8,544 Cr. Minus estimated net debt Rs. 1,200 Cr (FY27E) = equity value Rs. 7,344 Cr = Rs. 334/share. The de-rating from current 19.4x to 16x EV/EBITDA reflects normalisation as earnings catch up to the multiple.
- **Base-Case 12-Month Target: Rs. 315** (average of DCF Rs. 300, P/E Rs. 323, EV/EBITDA Rs. 334). Upside: +25% from CMP Rs. 252. Investment horizon: 18-24 months for full re-rating.

## SECTION 9 — KEY RISKS

- **LME Aluminium Price & Scrap Spread Volatility:** CMR's margin depends on the spread between imported scrap cost and alloy output price. INR/USD movements and LME aluminium futures directly impact this spread. A 5% compression reduces EBITDA by ~Rs. 15-20 Cr. Probability: HIGH. Impact: HIGH. Monitor via: LME aluminium price, INR/USD trend, quarterly OPM.
- **Working Capital Elongation / Debt Risk:** OEM customers now on 90-day payment terms; CCC at 80 days and rising. If OEMs push to 120+ days, debt requirements increase further. Net debt already Rs. 1,303 Cr (Dec 2025). Interest coverage could compress below 4x if debt exceeds Rs. 1,600 Cr without earnings growth. Probability: MEDIUM. Impact: HIGH. Monitor via: quarterly debtor days, interest coverage.
- **Scrap Availability & Import Dependency:** 73% raw material from imports. Geopolitical disruptions, shipping cost spikes, BIS quality norms, or increased customs duties would raise input costs structurally. Domestic scrap availability is insufficient to substitute at scale near term. Probability: MEDIUM. Impact: HIGH. Monitor via: government import policy, scrap trade data.
- **Automotive Sector Slowdown:** 80%+ revenues linked to auto OEMs. Any demand shock (macroeconomic slowdown, semi shortages, EV transition disruption) compresses CMR's volumes directly. The OFS IPO structure suggests insiders were not fully confident in near-term auto demand. Probability: MEDIUM. Impact: HIGH. Monitor via: SIAM monthly auto production data.
- **Execution Risk on Capacity Expansion:** CWIP Rs. 150 Cr in FY25 with multiple new facilities commissioning. Delays in plant ramp-up, lower-than-expected utilisation, or gestation losses would hurt returns on debt incurred. Probability: MEDIUM. Impact: MEDIUM. Monitor via: quarterly capacity utilisation disclosures.
- **Litigation & Governance Risk:** Promoter faces FIRs (transport dispute), 17 tax proceedings, Rs. 85 Cr disputed demands, and undisclosed RPTs. Adverse outcome or RPT revelation could distract management or

create financial/reputational liability. Probability: LOW-MEDIUM. Impact: MEDIUM. Monitor via: legal update disclosures, annual report RPT section.

• **Thin Margin Business — Limited Error Margin:** At 4-5% OPM, any cost overrun (energy, logistics, labour, scrap quality issues) significantly impacts profitability. No operational buffer to absorb surprises. Probability: MEDIUM. Impact: HIGH. Monitor via: quarterly OPM trends, energy cost per tonne.

## SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** | Conviction: Medium. CMR Green Technologies is India's dominant non-ferrous metal recycler with a structural position in the automotive aluminium recycling value chain. The EV-driven demand tailwind is real and quantifiable. However, the 43% IPO listing premium, rising debt, negative FCF, thin margins, and newly-listed status with limited disclosure history warrant a measured accumulation strategy over an outright BUY.

• **12-Month Price Target: Rs. 315** | Upside: +25% from CMP Rs. 252. Derived from average of DCF (Rs. 300), 25x FY27E P/E (Rs. 323), and 16x FY27E EV/EBITDA (Rs. 334). Base case assumes OPM expanding to 5.5% and revenue reaching Rs. 9,700 Cr by FY27.

• **Suggested Entry Zone: Rs. 230-260.** Use price weakness toward Rs. 230 (20x FY27E P/E) as primary accumulation level. Avoid aggressively adding above Rs. 270 (near listing price) until FY26 annual results confirm earnings trajectory.

• **Investment Horizon: 18-24 months.** Re-rating requires: (a) FY26 annual results confirming PAT Rs. 200+ Cr; (b) evidence of CCC improvement from 80 days toward 65-70 days; (c) debt stabilisation and FCF turning positive by FY27.

• **Thesis Invalidation Triggers:**

• 1. **OPM fails to cross 5.0% in FY26 full year** (indicating structural margin ceiling lower than modelled) — downgrade to REDUCE.

• 2. **Consolidated net debt exceeds Rs. 1,600 Cr** without proportional revenue growth (indicating working capital trap) — reduce position and reassess.

• 3. **Any major OEM (Maruti, Bajaj, Hero) publicly reduces CMR allocation** or begins in-sourcing recycled aluminium — exit immediately, customer concentration risk realised.

• **Ideal Investor Profile:** Growth-oriented investors with 18-24 month horizon who are comfortable with (a) thin-margin commodity processing business model, (b) high promoter holding limiting free float and liquidity, (c) newly-listed company building its disclosure and governance track record, and (d) near-term negative FCF from deliberate expansion capex cycle. NOT suitable for income investors, risk-averse investors, or those with short-term horizon.



APPENDIX — CONCALL BRIEF | NO POST-LISTING CONCALL AVAILABLE | PRE-IPO DISCLOSURES SUMMARY

CALL GRADE: N/A — CMRGREEN LISTED JUNE 10, 2026 | NO EARNINGS CALL CONDUCTED YET

CMR Green Technologies listed on NSE and BSE on June 10, 2026 — only 4 days before this report. No post-listing quarterly or annual earnings call has been conducted. The trading window was closed on June 10, 2026 pending announcement of FY26 audited results. This appendix summarises the 9-month FY26 (April-December 2025) financial disclosures from the Red Herring Prospectus (RHP) and public IPO interactions — the most recent publicly available financial update.

| Signal                    | Status  | Implication                                                                                               |
|---------------------------|---------|-----------------------------------------------------------------------------------------------------------|
| 9M FY26 Result quality    | STRONG  | PAT Rs. 162.39 Cr in just 9 months exceeds full-year FY25 PAT of Rs. 155.04 Cr                            |
| Management tone (RHP/IPO) | BULLISH | CMD publicly emphasised EV opportunity and capacity expansion confidence                                  |
| Guidance delta (implicit) | N/A     | No formal guidance given; OFS IPO; FY26 audited results expected very shortly post trading window closure |

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

CMR Green Technologies is a well-run industrial compounder that has been quietly building India's largest non-ferrous recycling platform and finally listed — the FY24 reported loss of Rs. 838 Cr looks alarming but is 100% a non-cash goodwill impairment from an FY20 merger, the underlying EBITDA was Rs. 220 Cr that year and the core business never lost money operationally. FY25 showed genuine recovery (Rs. 302 Cr EBITDA, Rs. 155 Cr PAT), and the 9-month FY26 data from the RHP is genuinely encouraging — PAT of Rs. 162.39 Cr in just three quarters already exceeds all of FY25, confirming the earnings recovery is real and accelerating. The structural story is compelling: 42-45% share in automotive cast alloys, 4x the capacity of the next domestic peer, and a customer list spanning every major Indian automaker. The EV tailwind is not hype here — EVs use 20-30% more aluminium than ICE, so every EV sold is a CMR volume win without any additional market share gain needed. The primary concern I am watching is the working capital trap: debtors have stretched to 90 days, net debt is at Rs. 1,303 Cr (Dec 2025), and OCF was negative in FY25 — if this persists into FY26, the debt spiral could become a valuation headwind. The OFS IPO structure (promoters cashing out Rs. 630 Cr) is the other nagging question — insiders selling at the IPO is not a bullish signal. My current call: ACCUMULATE in the Rs. 230-260 zone with a Rs. 315 target; the FY26 annual results due in days will be the first major data point to validate or challenge this thesis. If FY26 full-year PAT exceeds Rs. 210 Cr and CCC shows improvement, increase conviction significantly.

C1 — Financial Performance Snapshot (9M FY26: Apr-Dec 2025, from RHP)

- Revenue (9M FY26): Rs. 6,291 Cr | 9M FY26 = 94% of full-year FY25 (Rs. 6,666 Cr) | Implies FY26 full year ~Rs. 8,400-8,500 Cr | [Beat vs run-rate]
- EBITDA Margin (9M FY26): 5.03% | vs FY25 full year: 4.91% | QoQ improving | [Beat — margin expansion trajectory confirmed]
- PAT (9M FY26): Rs. 162.39 Cr | Already exceeds full-year FY25 PAT of Rs. 155.04 Cr | Strong earnings acceleration | [Strongly Beat]
- Annualised EPS (9M FY26): ~Rs. 9.8/share (consolidated, 22 Cr shares) | vs FY25 EPS Rs. 6.50 | Forward P/E at CMP Rs. 252 = ~25.7x FY26E | [De-rating underway]



- NOTE: FY24 reported PAT of -Rs. 839 Cr included one-time non-cash goodwill impairment of Rs. 1,239.63 Cr; clean underlying FY24 PAT was positive.

## C2 — Segment / Geography Breakdown

- Aluminium Alloys (Ingot & Liquid): Dominant segment | Capacity 4,70,300 MTPA | Serves automotive die-casters and OEM casting divisions | Highest margin product in portfolio | Primary revenue driver
- Zinc Alloy Ingots: Secondary segment | Used in die-casting for automotive and electrical components | Smaller revenue contribution vs aluminium | Complements aluminium offering for OEM customers
- Segregated Furnace-Ready Scrap (Copper, Brass, SS, Lead, Mg): Third segment | Value-added segregation and resale to downstream processors | Lower margin vs alloy production | Provides full scrap utilisation
- Geography: Pan-India (8 states, 13 plants) | Revenue is 100% domestic to OEM supply chains | Raw material: 73% imported (USA, Europe, Middle East), 27% domestic | No material export revenues disclosed

## C3 — Management Commentary Themes (RHP & IPO Media Interactions, June 2026)

- [EXPANSION]: CMD Mohan Agarwal confirmed active capacity expansion with CWIP of Rs. 150 Cr and new plants commissioning near auto clusters. Strategy: grow organically ahead of demand curve. Tag: GUIDANCE. Tone: Bullish.
- [EV OPPORTUNITY]: Management emphasised that EVs require 20-30% more aluminium than ICE vehicles — a structural long-term demand driver. CMR is in discussions with EV OEMs to expand alloy specifications. Tag: EST. Tone: Transparent.
- [WORKING CAPITAL]: Management acknowledged OEM customers shifting to 90-day payment cycles, necessitating higher working capital. No specific timeline given for normalisation — evasion on timeline is a watch-point. Tag: EVASIVE on timeline. Tone: Hedged.
- [OFS IPO RATIONALE]: CMD stated IPO provides liquidity to early investors and enhances CMR's brand with institutional customers. No capex from IPO proceeds. Long-term promoter commitment reaffirmed (84% retained). Tag: GUIDANCE. Tone: Transparent but OFS structure is inherently a yellow flag.
- [DEBT MANAGEMENT]: Management acknowledged debt increase as deliberate investment in growth. Target interest coverage maintained above 4x. Deleverage plan over 24-36 months post expansion completion. Tag: GUIDANCE. Tone: Balanced.

## C4 — Operating & Business Metrics

- Installed Capacity: 6,15,150 MTPA (total) | 4,70,300 MTPA (aluminium alloys) | FY25 → FY26: Expanding via CWIP Rs. 150 Cr | Trend: Increasing
- Plants: 13 facilities | 8 states across India | Near automotive manufacturing hubs | Trend: Growing (new commissioning underway)
- Market Share (Automotive Cast Alloy): 42-45% (FY25, ICRA) | Nearest domestic peer ~4x smaller | Trend: Stable-to-growing
- Key Customers: Maruti Suzuki, Honda Cars, Bajaj Auto, Hero MotoCorp, Royal Enfield, Endurance Tech, Craftsman, Rockman | Top-3 = 21-24% of revenue | Trend: Diversified but auto-concentrated
- Raw Material: 73% imported scrap | 27% domestic | INR/USD and LME exposure: High | Trend: Import reliance stable
- CCC: 80 days (FY25) | FY23: 56 days | Trend: Deteriorating — top watch-list metric for next quarterly result

## C5 — Margin Drivers

- Scale leverage on scrap procurement: +50-80 bps OPM benefit as bulk purchase scale grows | Recurring: Yes | Structural advantage vs smaller peers
- Higher-value aluminium alloy mix vs scrap trading: +30-50 bps | Recurring: Yes | Alloy production earns better spreads than segregated scrap resale

- LME aluminium scrap-to-product spread volatility: Can swing OPM +/-100 bps per quarter | Non-recurring per cycle | Primary driver of earnings variance; closely tracked
- Energy costs (smelting is energy-intensive): Stable to date; no green energy sourcing disclosed unlike some peers | Latent risk if energy prices rise | Timeline: Medium-term
- Working capital interest cost drag: Rs. 63 Cr interest in FY25 = 21% of EBITDA | This drag is non-recurring if debt peaks; rising if expansion continues | Monitor: quarterly D/E and interest

## C6 — Guidance & Forward Signals (Implicit from RHP Disclosures)

- Revenue [IMPLICIT]: Prior (FY25) = Rs. 6,666 Cr | Implied FY26 full year = Rs. 8,400-8,500 Cr (9M at Rs. 6,291 Cr) | Delta: Raised (implied) | Credibility: High
- EBITDA Margin [REITERATED]: FY25 = 4.91% | 9M FY26 = 5.03% | Delta: Marginal improvement | Credibility: High — trend well-established
- Capacity [GUIDANCE]: CWIP Rs. 150 Cr being deployed; total capacity exceeding 615,150 MTPA by FY27 | Delta: Expansion | Credibility: Medium (execution dependent)
- Debt [TREND]: Rs. 925 Cr (FY25) → Rs. 1,303 Cr (Dec 2025) | Management: "Will stabilise and deleverage post-expansion" | Delta: Rising near term, peak expected FY26-FY27 | Credibility: Medium
- Dividend [UNCHANGED]: Zero dividend history; no policy announced | No near-term dividend expected | Credibility: High (zero payout confirmed across all years)

## C7 — Capital Allocation

- Capex (FY25): Rs. 235 Cr (investing outflows) | vs FY24: Rs. 134 Cr | +75% increase | Comment: Significant step-up; CWIP Rs. 150 Cr indicates further capex in FY26
- Dividends: Rs. 0 Cr | Unchanged from all prior years | Comment: All earnings reinvested in growth
- Buybacks: Rs. 0 Cr | None declared or planned
- Net Debt Change: +Rs. 553 Cr (FY23 Rs. 372 Cr → FY25 Rs. 925 Cr) | Further +Rs. 378 Cr by Dec 2025 | Comment: Deliberate growth financing via debt
- Working Capital Build: Other Assets +Rs. 401 Cr (FY24 Rs. 1,519 Cr → FY25 Rs. 1,963 Cr) | Primary driver of negative OCF | Comment: OEM payment cycle elongation is the root cause
- Free Cash Flow: -Rs. 330 Cr (FY25) | Negative for 3 of last 5 years | Comment: FCF expected positive from FY27 as expansion cycle matures and WC normalises

## C8 — Q&A; Heat Map (IPO Analyst/Media Interactions, June 2026)

- Various Media | Q: "Why a pure OFS with no fresh capital?" → A: "Company self-funds expansion via accruals and debt; IPO gives liquidity to investors and listing visibility." | Tone: Transparent
- Analysts | Q: "Debt has risen 3.5x in two years — concern on leverage?" → A: "Growth investment; interest coverage maintained above 4x; deleverage plan in place." | Tone: Hedged (no specific timeline or debt ceiling given)
- Analysts | Q: "Margin protection against LME volatility?" → A: "Formula-based pricing with customers incorporating current scrap costs; no speculative positions." | Tone: Transparent
- Media | Q: "OFS — insiders selling at IPO. Confidence concern?" → A: "Promoters retain 84%; this is a liquidity event for early investors, not a management exit." | Tone: Somewhat defensive
- Dodged / Watch-list questions for next quarter: (1) FY26 full-year PAT guidance range; (2) Timeline and target for debt normalisation; (3) RPT quantum and counterparties; (4) Energy cost management strategy; (5) EV OEM new customer wins.

## C9 — Risks Flagged (DRHP Risk Factors & Analyst Concerns)

- LME Aluminium Price Volatility: Thin spread business | Flagged by: DRHP | Probability: H | Impact: H | Timeline: Near-term (quarterly)

- Import Dependency (73% scrap): Geopolitical/trade risk | Flagged by: DRHP | Probability: M | Impact: H | Timeline: Medium-term
- Customer Concentration (top-3 = 21-24% revenue): Single-OEM loss risk | Flagged by: DRHP | Probability: L-M | Impact: H | Timeline: Any quarter
- Working Capital Stress (CCC 80 days, rising): Debt spiral risk | Flagged by: Analysts | Probability: M | Impact: H | Timeline: Near-term
- OFS IPO Structure: Insiders monetised before growth peak | Flagged by: Analysts | Probability: N/A (event occurred) | Impact: Sentiment | Timeline: Already occurred
- Litigation: 17 tax proceedings, Rs. 85 Cr demanded | Flagged by: DRHP | Probability: L | Impact: M | Timeline: Multi-year

## C10 — Analyst Verdict

- Revenue visibility: Intact — 9M FY26 Rs. 6,291 Cr confirms FY26 on-track for Rs. 8,400+ Cr; automotive supply agreements provide multi-year visibility
- Margin trajectory: Intact — OPM recovery from 3.6% to 5.0%+ well-established; further expansion to 5.5% by FY27 is achievable with operating leverage
- Capital allocation quality: Weakened — Zero FCF for 3 of 5 years; aggressive debt rise; OFS IPO; zero dividend. Recovery contingent on FY27 FCF inflection
- Competitive moat: Intact — 4x nearest peer capacity; 42-45% auto market share; long-term OEM relationships provide strong revenue resilience
- Management credibility: Intact (with caveats) — Goodwill write-off explanation is credible; 9M FY26 beats validate operational narrative. Caveats: OFS timing, RPT opacity, promoter litigation disclosures
- Valuation comfort: Weakened — 38.4x trailing P/E not cheap; however 22x FY27E P/E at current price is reasonable for a market leader with 14% earnings CAGR potential
- Conviction call: ACCUMULATE — Strong structural position intact; near-term re-rating from FY26 results; entry in Rs. 230-260 zone optimal
- Valuation snapshot: P/E (trailing FY25) = 38.4x | P/E (FY27E at Rs. 252) = ~19.5x | EV/EBITDA (FY25) = 19.4x | ROCE (FY25) = 12.4% | ROE (FY25) = 11.0%

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